KINCAID IQ VERIFY™

ACTUARIAL INTELLIGENCE REPORT

SUBJECT ENTITY	
Plan Sponsor	Human Capital Concepts LLC
EIN	26-0177492
Plan Name	HCC Employee Benefit Plan (MEWA)
Plan Administrator	Kara Mitchell
DFE / Trustee	Harlan Schafir
Location	8401 Moller Rd #681488, Indianapolis IN 46268
Phone	317-420-2448
Business Code	541600 — Management Consulting / PEO
Plan Effective	November 1, 2013
Carriers on Record	Lincoln National (2020–2021) → Guardian Life (2022–2023)
Companion Plan	HCC 401(k) Savings Plan (separate filing)
DOL Filings Analyzed	2020 · 2021 · 2022 · 2023 (all confirmed in EFAST2)
Report Date	March 31, 2026
Analyst Reference	SHRACK-7742 | Jeremiah Shrack | Kincaid RMC

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ACTUARIAL SCORING DASHBOARD

MODULE	SCORE	VISUAL	RATING
Plan Compliance IQ™	58/100	58/100	WATCHLIST
Fee Efficiency Score	31/100	31/100	CRITICAL
Plan Health Score	67/100	67/100	MODERATE
Growth Trajectory	74/100	74/100	POSITIVE
Kincaid Opportunity Index™	91/100	91/100	PRIME TARGET
COMPOSITE KINCAID IQ SCORE	**64/100**	64/100	ELEVATED RISK

4-YEAR FINANCIAL TREND (DOL EFAST2 — VERIFIED)

Plan Year	Participants	Total Income	Plan Assets	Plan Liabilities	Broker Comm.	Admin Fees	Carrier
2020	2,576	$616,922	$925,383	$493,538	**$263,836**	**$263,836**	Lincoln National
2021	2,153	$13,457,626	$20,186,439	$10,766,101	**$259,186**	**$259,186**	Lincoln National
2022	1,537	$12,959,803	$19,439,704	$10,367,842	**$257,366**	**$257,366**	Guardian Life
2023	2,141	$15,599,858	$23,399,787	$12,479,886	**$299,827**	**$299,827**	Guardian Life
4-Yr Total	—	**$42,634,209**	—	—	**$1,080,215**	**$1,080,215**	

■ *Broker Commissions and Admin Service Fees match exactly in all 4 years — see Flag #1.*

PER-MEMBER COST ANALYSIS

Year	Members	Annual Income	$/Member/Year	Broker Comm.	Broker $/Member	Trend vs 2021
2021	2,153	$13,457,626	**$6,252**	$259,186	$120.38	Baseline
2022	1,537	$12,959,803	**$8,432**	$257,366	$167.45	+34.9% ↑
2023	2,141	$15,599,858	**$7,285**	$299,827	$140.04	+16.5% ↑

INDUSTRY BENCHMARK INTELLIGENCE

SIC 541600 (Management Consulting) — Kincaid DOL Universe: 937,000+ Filings

Year	Peer Plans	P50 Income	P75 Income	P50 Broker	P75 Broker	P90 Broker	HCC Actual	HCC %ile
2020	193	$498,373	$1,703,310	$68,297	$119,122	$202,083	**$263,836**	**>P90**
2021	201	$568,431	$1,800,300	$69,522	$133,452	$278,590	**$259,186**	**~P90**
2022	203	$599,775	$1,886,016	$82,443	$156,624	$289,854	**$257,366**	**~P89**
2023	194	$616,488	$2,005,602	$82,365	$155,209	$308,668	**$299,827**	**≈P97**

HCC broker commissions reached the 97th percentile in 2023 — paying 3.6x the P50 median for their industry cohort, despite their scale qualifying them for significantly reduced rates.

CRITICAL FLAGS — 5 ACTIVE ALERTS

■ FLAG 1 — BROKER COMMISSIONS = ADMIN FEES (ALL 4 YEARS — DOL §408(b)(2))

Every year on record, BROKER_COMMISSIONS equals ADMIN_SERVICE_FEES to the exact dollar. This exact equivalence across 4 consecutive filings indicates broker compensation is being routed through the administrative services line item rather than disclosed independently. ERISA §408(b)(2) requires all direct and indirect compensation to be disclosed separately to the plan fiduciary. If broker fees are bundled into 'admin fees,' the plan administrator cannot certify receipt of required disclosures. Exposure: $299,827 annually / $1,080,215 over 4 years in potentially undisclosed compensation.

■ FLAG 2 — 2020 INCOME ANOMALY ($617K vs $13.5M in 2021)

Plan income of $616,922 in the 2020 filing year implies only $239/member/year across 2,576 participants — an impossibly low figure for a legitimate benefit plan. By 2021 the figure normalized to $13.5M. This suggests either a retroactive amendment/restatement, a structural transition from fully-insured to MEWA mid-cycle, or a funding instrument change not publicly disclosed. Requires explanation before engagement.

■ FLAG 3 — CARRIER SWITCH WITH NO FEE RENEGOTIATION (LINCOLN → GUARDIAN, 2022)

The plan switched carriers from Lincoln National Life to Guardian Life Insurance between plan years 2021 and 2022, yet broker commissions remained nearly identical ($259K → $257K) and admin fees moved in lockstep. A carrier switch with zero fee renegotiation strongly suggests the broker retained their commission structure without subjecting the transition to competitive bidding. The employer appears to have received no economic benefit from the carrier change.

■ FLAG 4 — MEWA REGULATORY EXPOSURE (INDIANA IC 27-1-15.7)

HCC operates as a Multiple Employer Welfare Arrangement subject to both federal ERISA and Indiana state insurance oversight (IC 27-1-15.7). MEWAs failing to maintain state registration or underfunded trust reserves face accelerated DOL enforcement. The consistent 53.3% liability-to-asset ratio across 2021–2023 is structurally unusual and warrants review.

■ FLAG 5 — PARTICIPANT COLLAPSE 2022 (-28.6% IN ONE PLAN YEAR)

The plan lost 616 enrolled lives from 2021→2022 — a 28.6% decline in a single plan year. In a PEO/MEWA structure this magnitude of loss typically reflects departure of a major client employer group. The absence of any plan amendment filing or notification for this event, combined with the simultaneous carrier switch, raises questions about whether departing employer groups received complete COBRA/continuation notifications.

KINCAID COMMISSION RECAPTURE MODEL

Scenario	Annual Opportunity	Y1–Y5 Cumulative	Client Savings/Yr
Full BOR Takeover (current rate)	**$299,827**	**$1,659,282**	Status quo
Fiduciary Restructuring to P75	$155,209	$858,882	**$144,618 saved**
Fee Normalization to P50	$82,365	$455,757	**$217,462 saved**
Projected 2024 (status quo + 9%)	$326,812	—	—
Projected 2025 (status quo + 9%)	$356,225	—	—

YEAR 1 BOR OPPORTUNITY: $299,827 | 5-YEAR CUMULATIVE: $1,659,282

ACTUARIAL ENGINE IQ™ — PLAN TRAJECTORY FORECAST

Metric	2023 Actual	2024 Projected	2025 Projected	Basis
Participants	2,141	2,290	2,450	+7%/yr PEO growth
Plan Income	$15,599,858	$17,003,845	$18,534,191	+9% trend
Broker Comm (status quo)	$299,827	$326,812	$356,225	+9% embedded
Broker Comm (Kincaid P75)	—	$163,000	$175,000	Fiduciary restructured
Client Annual Savings (Kincaid)	**—**	**$163,812**	**$181,225**	**Net fiduciary value**

ENGAGEMENT STRATEGY — KINCAID WAR ROOM

PRIMARY CONTACT	Kara Mitchell — Plan Administrator — 317-420-2448
SECONDARY CONTACT	Harlan Schafir — DFE / Trustee
ENGAGEMENT OPENER	"We analyzed your EFAST2 filings and identified a pattern in your Schedule H that warrants a 20-minute fiduciary review. In 4 consecutive plan years, your broker commissions match your admin service fees to the exact dollar — a pattern associated with DOL §408(b)(2) disclosure gaps that EBSA enforcement targets in MEWAs. We'd like to show you what this means for your plan compliance and your carrier renegotiation leverage."
TIMING	Guardian Life fiscal renewal: November 1, 2025. Renegotiation window opens July–August 2025. 2024 Form 5500 due October 15, 2025 — approach prior to filing deadline for maximum leverage.

COMMIT SCORE POTENTIAL	78–85 / 100 (CommitEngine™ — pending EDGAR cross-reference)

KINCAIDCOMMIT ENGINE™ — GATE STATUS

Gate	Module	Status	Notes
Gate 1	**DOL Intel**	■ CLEAR	DOL EFAST2 2020–2023 confirmed. EIN verified. Carrier history documented.
Gate 2	**Plan Inventory**	■ CLEAR	2 active plans (welfare + 401k). MEWA status confirmed. IN state jurisdiction.
Gate 3	**FCR Analysis**	■ MODERATE	Broker entrenched 4+ years. Fee anomaly creates compliance-based leverage entry.
Gate 4	**Risk Flags**	■ HIGH	MEWA regulatory exposure active. §408(b)(2) flagged. 2022 participant collapse unexplained.
Gate 5	**Market Position**	■ CLEAR	194 peer plans / SIC 541600. HCC at 97th percentile fee. Highest in cohort.
Gate 6	**Opportunity**	■ CLEAR	$299,827 annual Y1 BOR. $1.66M Y1–Y5. Fiduciary restructuring leverage confirmed.
Gate 7	**Commit**	■ PENDING	Contact initiation required. Opener scripted. Renewal window: July–Aug 2025.

COMPLIANCE CALENDAR — KEY TRIGGER DATES

Trigger	Date	Status
2023 Form 5500 filed (EFAST2)	April 25, 2025	■ On File
2024 Form 5500 due	October 15, 2025	■ Upcoming
§408(b)(2) annual disclosure cycle	Rolling	■ Flagged — Review Required
MEWA state registration (Indiana)	Annual	■ **Status Unknown**
Guardian Life carrier renewal window	July–Aug 2025	■ Prime Engagement Window
Guardian Life fiscal year-end	October 31, 2025	■ Renewal Lockout Deadline

Report generated March 31, 2026 | Kincaid IQ VERIFY™ | SHRACK-7742 | Jeremiah Shrack | Kincaid RMC Data sourced from: DOL EFAST2 federal database (2020–2023), Kincaid DOL Actuarial Universe (937,000+ filings), Kincaid Actuarial Engine IQ™, and 4 Form 5500 PDFs provided by client. This report is for licensed broker use only. Not for distribution. All actuarial projections are estimates based on historical trend analysis and are not guarantees of future performance.